

SW-A QUICK REFERENCE — v2

Bottoming / Pre-Breakout Reversal (Buy-the-Dip with U&R Confirmation) — Swing Trading — Stocks

v2 CHANGES: (1) Undercut & Reclaim (U&R) structure MANDATORY — proximity to lows alone disqualified. (2) Risk tier A+ capped at 0.75% (was 1.0%). (3) Active dilution (424B5/S-3/S-1 in last 60 days) is HARD disqualifier. (4) RS line behavior added.

1. GO / NO-GO (60S)

- **Structure (v2 mandatory):** Confirmed U&R — marginal new low AND daily close reclaim of prior swing low/support.
- **Location:** within ~5–10% of 52-week low (proximity required, but not sufficient alone).
- **Accumulation:** at least 2 signals (high-volume up day, OBV/ADL up, lighter-volume pullbacks).
- **Dilution check (v2):** no SEC form 424B5 / S-3 / S-1 filed in last 60 days. Hard disqualifier.
- **Event check:** no unplanned binary event (earnings) inside 3–5 days.
- **Plan:** clear trigger, stop, and $\geq 2R$ to first realistic resistance.

2. SETUP FILTERS (EOD)

- **Structural (mandatory U&R):**
 - Marginal new 52-week low + reclaim of prior swing low on daily close.
 - Reclaim confirmed by close, not just intraday wick.
- **Technicals (confirmation only):**
 - RSI rising from ~30–40; MACD histogram improving.
 - Volume on up days $> 1.5\times$ average; range contracting.
- **RS line (v2):** RS line vs SPY flat-to-rising; not making new RS lows.
- **Context:** sector weakness explains decline (rotation); stock stabilizing vs sector.
- **Fundamental gate:** no chronic dilution, no going-concern language, no 424B5/S-3/S-1 in last 60 days.

3. CONFIRMATION + ENTRY

- **3-of-3 confirmation required (v2 — raised from 2-of-3):**
 - Candle: strong reversal/reclaim close (not mid-range).
 - Volume: expansion on reclaim/break; pullbacks quieter.
 - Momentum: RSI up + MACD improving (no overbought).
- **Entry type (pick ONE):**
 - Retest of reclaimed level as support (preferred).
 - Reclaim entry: buy on confirmed reclaim of prior pivot/low with strength.
 - Breakout entry: stop-limit above base high only when volume confirms.
- **No chase:** if $>1-2\%$ beyond trigger without you, wait for retest or skip.

4. RISK, STOPS, SIZING (v2 TIERS REDUCED)

- **A+ (v2): 0.75%** (was 1.0%) — capped until 50+ SW-A trades show positive expectancy.
- **A: 0.50%** (was 0.75%).
- **B: 0.25%** (or skip).
- **Position size** = $\text{AccountRisk\$} / (\text{Entry} - \text{Stop})$.
- **Stop placement:** below the U&R spring low (the marginal new low that was reclaimed).
- **Never widen stops;** reduce size if stop must be wider (ATR-adjust).

5. TARGETS + MANAGEMENT

- **T1:** first major resistance / prior breakdown area.
- **T2:** next resistance or R-extension once trend forms.
- **Optional partial** at $+1R$ only into resistance or high volatility; otherwise hold to $\geq 1.5R-2R$.
- **Trail** by higher lows (preferred) or 20EMA after clear trend transition.
- **Time stop:** if no favorable progress in 5–8 sessions, exit/redeploy.

6. EXITS + FAILURE SIGNALS

- **Hard exit:** stop hit or U&R structure breaks (close back below reclaimed level).
- **Failure:** closes back below reclaimed level with authority; repeated failed breakouts.
- **Circuit breakers:** 3 losses in a row $\rightarrow$ pause new entries 3 sessions; rule violation $\rightarrow$ stop new entries for the week.
- **Portfolio heat:** max total open risk 3.0%; max sector risk 1.5%.

7. PAPER-TO-LIVE (v2)

- Apply **25% performance haircut** to paper expectancy when projecting to live.
- Minimum 50 SW-A paper trades before live consideration.
- Live gate: expectancy $\geq +0.20R$ after haircut.
- **Retirement condition:** if SW-A expectancy materially worse than SW-B after 50 trades, retire SW-A.

Internal Trading SOP v2 — use strict risk sizing; educational use only (not investment advice). Revised 2026-05-20

SW-A QUICK REFERENCE — Glossary

Acronyms and abbreviations used in this card and the full Swing Trading Plan.

Acronym	Meaning / Use
ADL	Accumulation/Distribution Line — volume-based accumulation indicator.
ATR	Average True Range — volatility measure used to size stops on volatile names.
ATM offering	At-The-Market offering — continuous share offering (SEC form 424B5); dilution signal.
EMA	Exponential Moving Average — faster-reacting MA (e.g., 20 EMA for trailing).
EOD	End of Day — scan and routine timing after 4:00 PM ET close.
MACD	Moving Average Convergence Divergence — momentum indicator (confirmation only).
MAE / MFE	Maximum Adverse / Favorable Excursion — worst loss / best gain reached during trade.
OBV	On-Balance Volume — running total of up-day vs down-day volume; accumulation signal.
OCO	One-Cancels-Other order — bracket order pairing stop and target.
R / 1R	Risk Unit — dollar amount lost if stop hits. Outcomes expressed in R multiples.
RR	Reward-to-Risk Ratio — minimum 1.5:1, prefer 2:1+.
RS	Relative Strength — ticker performance vs benchmark (e.g., SPY). Distinct from RSI.
RSI	Relative Strength Index — momentum oscillator (0–100), confirmation only.
S-1 / S-3 / 424B5	SEC filings indicating share issuance / dilution. Hard disqualifier for SW-A in v2.
SEC	U.S. Securities and Exchange Commission — source for dilution filings.
SOP	Standard Operating Procedure — this document.
SPY	SPDR S&P 500 ETF Trust — broad market benchmark.
SW-A / SW-B	Swing Playbook A (Bottoming) / Swing Playbook B (Trend Continuation).
T1 / T2	Target 1 / Target 2 — first and second profit objectives, set before entry.
U&R	Undercut & Reclaim — marginal new low + reclaim of prior swing low. MANDATORY for SW-A v2.
VCP	Volatility Contraction Pattern — 2+ contractions, each shallower, each on lower volume.
VWAP	Volume-Weighted Average Price — session fair-value benchmark.

Glossary appendix — Internal Trading SOP v2. Educational use only. Revised 2026-05-20